

Spiels for Your Name

1 Elevator Spiel

2 Why do you want to work at this institution?

There are 3 main reasons I would like to work at (your institution).

First, I enjoy thinking about challenging economic problems using mathematical modeling, theory, and computational tools. These are approaches that align well with the type of work that is conducted at (your institution).

Second, I'm excited to work with like-minded individuals whose diverse experiences and skills will complement my own. An environment like this will allow me to contribute to a greater, common goal.

Lastly, while I am finally finishing school, I do view myself as a lifelong learner. I'm eager to see how the concepts I've studied over the past decade translate into completing tasks in the work setting. At the very least, I feel the past 6 years of my life have helped me to hone my problem-solving skills.

3 Job Market Paper Spiel

My job market paper is at the intersection of wealth inequality and quantitative macro. The core question I answer is: *Does allowing for heterogeneous returns in a standard consumption-saving framework help explain the skewed distribution of wealth observed in the data?*

The early literature on wealth inequality focused on whether skewed labor earnings alone could explain the shape of the wealth distribution. But while income is unequal, wealth is far more skewed, especially in the upper tail. Early models then tried adding stochastic returns to wealth as an exogenous process, which did help match the distribution empirically. However, those models don't relate wealth accumulation to household behavior.

My paper is in line with heterogeneous agent macro models which contribute to this discussion. I show that introducing modest heterogeneity in returns on top of labor income risk significantly improves the model's ability to match targeted and untargeted wealth moments. Unlike time preferences or risk aversion, household returns are observable. The estimated distribution of returns from my paper corresponds to empirical evidence on returns from Norwegian administrative data.

There are two key policy implications of my paper. First, capital income taxation reduce wealth inequality more than wealth taxation when returns differ across households. This is because capital income taxes shift the tax burden toward those most productive with capital. Second, from a welfare perspective, in the partial equilibrium setting capital income taxation is preferred by the bottom six out of seven return types. This matters because wealth and capital income taxation are frequently debated in policy circles. My findings

suggest that returns heterogeneity should play a central role in evaluating these proposals, both for their distributional impact and welfare consequences.

4 Other papers

As for the other chapters of my dissertation, I am currently working with HRS data to consider the relationship between trust and returns to net worth. There is much work that talks about the relationship between trust and economic growth in a country. There is also work that suggests there's a right amount of trust regarding maximizing an individual's income. My work contributes to this by seeking to establish a similar relationship for returns. We know that there is a persistent component to returns measured in many datasets, and perhaps trust can be added to the list of potential explanations for it (like financial sophistication or entrepreneurial talent).

I also am working with a coauthor on a paper which seeks to describe the effects of energy price shocks on consumption and income inequality. There's a notable paper which identifies monetary policy shocks and shows the impact of those shocks on similar measures of consumption and income inequality. Using some data on identified supply and demand shocks to oil prices, we are in the process of doing a similar exercise. Energy prices have been more volatile relative to the prices of other goods, especially in recent years. This, along with the fact that energy consumption represents a larger share of income for poorer households, make studying the effects of energy price shocks of interest to inequality research.

5 Future Research and Career Aspirations

Broadly speaking, I consider myself an economist interested in the intersection between macroeconomics and inequality. My primary interests were wealth inequality and its determinants, which naturally pushed me in the direction of household finance. However, there are many aggregate variables that are influenced by inequality among households. Combining theoretical predictions and empirical evidence to answer questions and considering the effects of reactive policy decisions are two hallmark traits of modern economic research. I believe the carefulness needed to accomplish these tasks has sharpened my problem-solving ability. I know that I can carry that into any work I am asked to do moving forward.